

INDIAN ECONOMY

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TERMINOLOGY

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TRANSFER PAYMENTS

- Transfer payment is a payment of money, usually from the Govt. for which there are no goods or services exchanged.
- We can say, it is a re-distribution of income and wealth by means of the Govt.
- In countries like U.S., social security and unemployment benefits, insurance are common types of transfer payments.
- However, bail-outs and subsidies to companies / corporations are not considered under Transfer Payments.



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TRANSFER PRICE

- If the subsidiary of a multinational company sells its products to another subsidiary / parent company then, there may be **price manipulation**.
- Such type of payments from one entity to another entity (related parties) is termed as **Transfer Price**.
- Multinational companies can **manipulate transfer prices** in order to **shift profits** to low tax jurisdictions.

To counteract transfer price, regulations enforce an Arm's Length Transaction Rule or Arm's Length Principle (ALP), that means, the pricing should be just like what the firm is doing between unrelated parties.



INDIA



HEADQUARTERS: SEOUL, SOUTH KOREA

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FISCAL STIMULUS

A fiscal stimulus entails the Government to spend more from its own exchequer or slashing tax rates to put more money in the hands of consumers.

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MONETARY STIMULUS

- It is expanding money supply or reducing the cost of money (interest rates) by the Central Banks to increase consumer spending.
- Examples are reducing CRR, reducing repo rate, quantitative easing, helicopter money etc.



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FIXED CAPITAL

- Fixed capital includes the **assets** and the **capital investments**. Hence these are the investments in fixed assets.
- These are needed to **start** and **conduct** any **business**.
- The **assets** are considered **fixed**, because of the reason, they are not consumed or destroyed during the **actual production**.
- However, fixed capital investments are **depreciated** in the accounting statements.

Machinery used in the production is considered fixed capital. It does not include materials used in the actual production of the goods.



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VARIABLE CAPITAL

- This changes over a period of time.
- For example, when output is increasing, more labour are required and when output is decreasing, less labour are required.
- Hence, human labour is the component of variable capital.



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CURRENT ASSETS

- These are the assets which are expected to be sold and have the propensity to generate cash value over the next 1 year period, as per the standard business operations.
- They include cash, cash equivalents, accounts receivable, stock inventory etc.
- They can be used to fund day-to-day operations.



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CURRENT LIABILITIES

- Current liabilities are a short-term company's financial liabilities that are due within one year.
- The accounts payable include ...
 - Loan interest
 - Taxes
 - Payment to vendors and workers



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WORKING CAPITAL

- Working capital is the difference between a company's current assets, such as cash, accounts receivable and inventories of raw materials and current liabilities, such as accounts payable.
- It is a measure of company's liquidity and refers to the difference between operating current assets and operating current liabilities.

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POVERTY TRAP

- It is the situation which forces people to remain poor.
- It doesn't allow the poor people to escape it.
- Normally it happens in developing and under developed countries.
- It is caused by lack of capital and credit to the people.
- It can be broken by planned investments in the economy. This is to empower the people the means to earn and be employed.



REASONS FOR POVERTY TRAP

- Limited access to credit
- Land degradation
- Corrupt governance
- Poor education
- Lack of public healthcare
- War and poor infrastructure
- Capital flight.

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DIFFERENT KINDS OF CAPITAL

HUMAN CAPITAL

- Health
- Education
- Nutrition

BUSINESS CAPITAL

Proper entrepreneurial ecosystem along with access to capital

INFRASTRUCTURE CAPITAL

- Power
- Water / Sanitation
- Environmental conservation

NATURAL CAPITAL

Conservation of biodiversity and ecosystems.

PUBLIC INSTITUTIONAL CAPITAL

- A well-run public administration
- Judicial system
- Police force

KNOWLEDGE CAPITAL

Scientific research for health, energy, agriculture, climate and ecology

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ABUSE OF DOMINANCE

- It is the situation where a dominant company promotes its market position through anti-competitive practices.
- In India, Competition Act, 2002, looks at this. Based on Competition Act, 2002, Competition Commission of India was established.
- In western countries like USA, anti-trust laws are quite stringent.
- Several times, organisations like Facebook, Google come under criticism for Abuse of Domination.



EXAMPLES!

When Google prioritises its own products, by using its dominant position as a search engine, it is considered Abuse of Dominance.

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